

in sales while the investment was just \$1000.

Another way to increase sales is to display the BharatQR code in print advertisements or billboards, which takes customers directly to the company's website once they scan the code. The company can then process customers' orders and take the payment using the same QR code, thus saving both time and money in the process.

A Vancouver-based coffee roaster, Ethical Bean, started using QR codes to attract customers. The company displayed QR codes in its train ads, which, when scanned, took customers directly to the cafe's menu. This allowed customers to place their orders on the go, thus eliminating the waiting time while helping the cafe clock-in higher sales. Lloyd Bernhardt of Ethical Bean told Wall St Journal that the technology helped them double their business.

## Cut unnecessary costs

For any retailer, installing a point-of-sale (PoS) machine is both a capital expenditure as well as operational expenditure. And even though it makes up a little less than 10 per cent of the total operating cost for a retailer, every expenditure eats into the profit-pie of the company.

A PoS machine has intangible costs associated with it. It can cost up to ₹ 15,000 and usually comes with a monthly maintenance charge, performance charge along with merchant discount charges (MDR). The MDR for a retailer varies from 0.25 per cent to 0.50 per cent for transactions up to ₹ 1000 and ₹ 2000, respectively. For transactions made from credit cards, there is no cap and sometimes it can go up to 2 per cent of the transaction value. For a transaction value above ₹ 2000, the MDR is one per cent of the total bill amount.

"While PoS machines may not



Kishore Biyani, CEO of Future Group  
(Image courtesy: India Retail Forum)

contribute significantly to the operating costs of a large retail chain, a common QR code will definitely help medium- and small-scale retailers become more efficient. They just need to get a printout and stick it at the counter," says fintech expert Abhisant Pant.

Besides, the on-site maintenance of PoS machines is high and is a running cost throughout the lifespan of the machine. For instance, the rental for a PoS machine, depending on its type, is anywhere between ₹ 400 and ₹ 1500. Also, some PoS machines have performance charges ranging from ₹ 250 to ₹ 500.

However, using BharatQR, retailers can eliminate this expense. The cost involved is negligible as it only requires the retailer to display the QR code on a piece of paper. The MDR is also lower.

Apart from this, retailers need not pay any third-party fee to the payment gateway as BharatQR code is a common code that can accept payments from all three payment gateways—Visa, MasterCard and RuPay.

## Effective marketing

American fast-food restaurant Taco Bell managed to garner over 200,000 scans using QR codes in its promo-

tional campaign for ESPN College Football around the Bowl Championship Series in 2013. The brand managed to engage a substantial number of customers by using QR codes smartly.

## Seamless customer experience

The waiting time for a customer is a key factor in determining the footfall of a retail store. The longer the queue, the more likely the customer is to avoid the store. So, retailers are devising ways to reduce the waiting time at the queue in order to give customers a more seamless experience. BharatQR seems to address this concern to some extent. With PoS machines, consumers have to swipe their cards, enter their PIN and wait for the machine to generate receipts. While in the case of BharatQR, all that customers need to do is to scan the QR code before them and enter the PIN, to get the payment done. **EFY**

—Purba Das, senior business journalist, EFY

# How About WhatsApp For Your Business

## ➤ Instant messenger

**WhatsApp is a great way to do business. Nearly no-cost, no-frill tool, if used smartly, it can change the way communication is done in India and across the globe**

**B**ack in the 1950s, communication as a concept was not much popular across the globe. The regular TV, radio and print were probably the only